3 Bad Debt Written off/ Average Account Receivable

This ratio signifies the quality of the accounts receivable, which is **bad debt written off upon Average Accounts receivable. We can see that the health of accounts receivables is constant for this company. It remains around 0.36% to 0.4.%.**

Given that the company's accounts receivables days has increased, it is extremely important to keep a very close eye on Quality of Bad Debt which can be tracked through the above ratio.

4 Provision for Bad Debt/ Average accounts receivable

This ratio indicates how much the company provisions for bad debt against average accounts receivable. **The company creates a provision of an amount that they think will be the loss/expense.** In this case, we see that the company is creating larger provisions for bad debt which is generally a negative sign. However, the write-off have not increased which is a good sign.

We need to track the amount and health of accounts receivables very closely.